



Asia Insights

Economics - Asia ex-Japan

Korea: Strong chip prices drive exports higher

Strong AI cycle will likely support the BOK's confidence in strong growth and drive a hawkish stance

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- **Export growth surged again by 53.2% y-o-y in May (Consensus: 49.3%; Nomura: 61.5%),** led by strong export prices for semiconductors and oil products, offsetting weak autos. Imports rose 20.8% y-o-y in May, and the trade surplus widened to USD26.9bn in May from USD23.8bn in April. The January-May cumulative surplus reached USD101.91bn, which already exceeds the previous full-year record of USD95.2bn in 2017. Average daily exports also reached a new high of USD4.28bn in May, up 60.7% y-o-y.
- **The export cycle is being dominated by the AI semiconductor boom.** Semiconductor exports rose 169.4% y-o-y in May, accounting for more than 42% of total exports. Computer exports, mainly SSDs for AI servers, surged 290.7% y-o-y, while non-ferrous metal exports also rose strongly on demand linked to data-center investment. **The quality of the recovery remains uneven**, as autos, auto parts, general machinery and steel were still weak.
- We also believe that the BOK's export price measures may be unable to capture the recent surge in chip export prices, which may be exaggerating chip export volume, and hence its impact on GDP growth, though we believe the AI capex boom will continue to drive strong exports via price effects rather than volume effects and sustain the BOK's growth optimism.
- We maintain our 2026 GDP growth forecast of 2.4%, and we reiterate our policy view of three 25bp hikes, with the first one to be delivered in July, followed by two more 25bp hikes each at the October 2026 and January 2027 meetings (terminal rate: 3.25%).

Strong semiconductor exports maintain growth optimism

AI driven cycle

Exports surged again by 53.2% y-o-y in May (Consensus: 49.3%; Nomura: 61.5%), led by strong export prices for semiconductors and oil products, offsetting weak autos. Imports increased 20.8% y-o-y to USD60.80bn in May, leading to a wider trade surplus of USD26.95bn.

The January-May cumulative surplus reached USD101.91bn, already exceeding the previous full-year record of USD95.2bn in 2017. Average daily exports also reached a new high of USD4.28bn in May, up 60.7% y-o-y.

The data confirm that the export cycle is being dominated by the AI semiconductor boom.

- **Semiconductor exports rose 169.4% y-o-y** to USD37.16bn in May, setting a new monthly record. Memory semiconductors were the main driver, with exports totaling USD32.1bn, up 255% y-o-y (DRAM exports: 369.8% y-o-y; NAND exports: 206.8% y-o-y). The price cycle remains powerful. DDR5 16Gb fixed prices rose from USD4.80 in May 2025 to USD37.50 (682.1% y-o-y) in May 2026, while NAND 128Gb prices rose from USD2.92 to USD26.51 (806.9%) over the same period. The level of memory prices is still high enough to generate very large export revenue gains.
- **Computers/SSD: AI demand broadening beyond chips:** Computer exports rose 290.7% y-o-y to USD4.18bn, the highest level on record. The strength was driven by enterprise SSD demand linked to AI data centers. SSD exports rose to around USD3.97bn, up 337.7% y-o-y.

A mixed bag in the auto and oil-related sectors

- **Autos (weak headline, better mix underneath):** Auto exports fell 5.9% y-o-y in May, with internal combustion engine vehicle exports declining 14.4% y-o-y, while hybrid exports rose 6.8% and EV exports increasing 16.0%. The weakness reflected

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domestic parts supply disruption, logistics problems from the Middle East conflict, US tariffs and more local production overseas.

- **Oil-related sectors (nominal strength, weaker volumes):** Petroleum product exports rose 46.6% y-o-y in May, but export volumes fell 23.8%. Petrochemical exports increased 11.1% y-o-y in May, while export volumes fell 25.5%. The increase in export value was mainly driven by higher oil and product prices.

Materials, batteries and consumer goods

Non-ferrous metal exports rose 41.5% y-o-y in May, supported by demand for copper and aluminum linked to AI data centers. Secondary battery exports rose 31.4% y-o-y in May, helped by ESS/EV demand and higher mineral prices.

The AI capex boom lifted exports to most destinations

Exports increased in seven of the nine major regions. China, the US and ASEAN were the main drivers, while the Middle East and CIS were the two declining regions.

- **China (semiconductor supply-chain demand dominates):** Exports to China rose 80.9% y-o-y in May, the seventh consecutive month of growth. Semiconductors were the main contributor, with exports to China up more than 200% y-o-y in May.
- **US (AI capex strength versus tariff-sensitive weakness):** Exports to the US rose 59.1% y-o-y in May. Growth in semiconductors (651% y-o-y) and computers (675%) surged, reflecting strong AI infrastructure investment. Exports of autos (-5%) and auto parts (-4%) declined, affected by tariffs and production localization, which suggests semis and AI hardware benefit, while autos and machinery remain exposed.
- **ASEAN (broad supply-chain strength):** Exports to ASEAN rose 58.4% y-o-y in May, setting a new monthly record. Semiconductors, petroleum products, displays and petrochemicals all increased. ASEAN is benefiting from Korea's role in regional IT and intermediate-goods supply chains. The strength is broader than for China or the US, although part of the gains in petroleum and petrochemicals are price-driven.
- **EU (modest headline, IT support) :** Exports to the EU rose 2.4% y-o-y in May. Auto exports were weak, but semiconductors and computers posted triple-digit gains in May. Petrochemicals and general machinery exports also increased.

Fig. 1: Exports by product and destination

% y-o-y, unless stated otherwise	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Total Export Growth	13.3	33.9	29.2	50.2	48.0	53.2
Daily Average Export Growth	8.6	13.9	49.6	43.7	48.0	60.7
Total Import Growth	4.6	11.6	7.3	13.3	16.7	20.8
Trade Balance (USD bn)	12.1	8.7	15.7	26.8	23.8	26.9
Exports by product (% y-o-y)						
Semiconductor	43.2	102.8	160.6	151.4	173.5	169.4
MCP inc HBM	42.3	118.4	195.1	134.0	186.6	140.1
Computer	36.5	88.9	221.7	189.1	515.8	290.9
SSD	43.2	113.8	288.7	218.7	714.4	337.4
Display	0.8	26.2	-4.1	-1.5	-2.7	9.3
OLED	1.9	32.6	-0.4	-10.2	-4.4	2.8
Smartphone	24.7	66.9	11.5	43.3	11.6	12.7
Home Appliances	-1.6	-0.4	-20.3	-8.0	-19.9	-21.7
Automobile	-1.5	21.7	-20.8	2.2	-5.5	-5.9
Automobile Parts	-2.1	4.0	-22.5	-3.0	-6.5	-3.0
EV Batteries	-12.9	5.6	-5.7	28.6	-6.6	31.3
General Machinery	-2.2	8.5	-16.4	-6.1	-2.4	-6.0
Chemistry	-8.2	-0.7	-14.7	9.5	8.0	11.1
Petroleum Products	5.5	8.1	-1.0	86.1	39.9	47.5
Steel Products	-10.8	0.0	-7.8	-19.9	-27.5	-20.3
Textiles	-0.9	5.7	-15.4	13.6	15.5	0.8
BioHealth	23.8	16.2	-3.3	8.1	20.4	6.8
Ship	-1.9	-0.1	42.2	10.8	43.9	16.8
Exports by country and region (% y-o-y)						
US	3.7	29.5	28.4	47.8	54.0	59.1
China	10.1	47.0	34.3	65.8	62.6	80.9
Hong Kong	40.7	156.9	163.9	193.1	120.4	126.5
ASEAN	27.7	40.5	31.8	37.1	64.0	58.4
EU27	0.5	6.9	9.5	19.3	8.5	2.4
Taiwan	18.3	62.4	63.8	64.8	68.3	77.0
India	2.0	15.1	9.0	31.1	41.9	25.1

Source: CEIC, Nomura Global Economics

Nomura's view: Strong chip prices support the BOK's growth optimism

We expect the strong AI capex cycle to sustain strong double-digit growth throughout this year, which would support growth optimism. Indeed, *the BOK raised its 2026 GDP growth* forecast sharply to 2.6% from 2.0%, and indicated that the strong semiconductor cycles may help lift domestic demand through corporate profits, wages and tax revenue.

Still K-shaped growth though

While we flagged *Korea's twin-super cycle* last year, and we believe a recovery is on the way, we remain cautious about a more broad-based recovery.

- **K-shaped exports:** Korea's export engine is running very hot, but with a narrow high-powered core: AI-related semiconductors, storage and infrastructure, while exports outside semiconductors are struggling with weak demand and geopolitical disruptions (Figure 2). Indeed, although higher oil prices lifted exports of oil-related products, the volume growth plunged.
- **Easing export volume growth:** More importantly, custom-based export volume growth is declining sharply. Indeed, custom-based export volumes continued to fall by 18% y-o-y in May again after a 17.7% decline in April, posting double-digit y-o-y declines for the second consecutive month. The BOK's export volume index also likely slowed in Q2, although it is likely to maintain a double-digit pace (Figure 4).

Divergence in export volume measures

Interestingly, the two export volume measures started to diverge in 2025, and now show more diverging trends, reflecting the growing weight of high-value, low-weight semiconductor exports. The divergence mainly reflects differences in how export prices are measured. Both indicators are based on the same customs export data, but they use different price deflators to derive real export volumes.

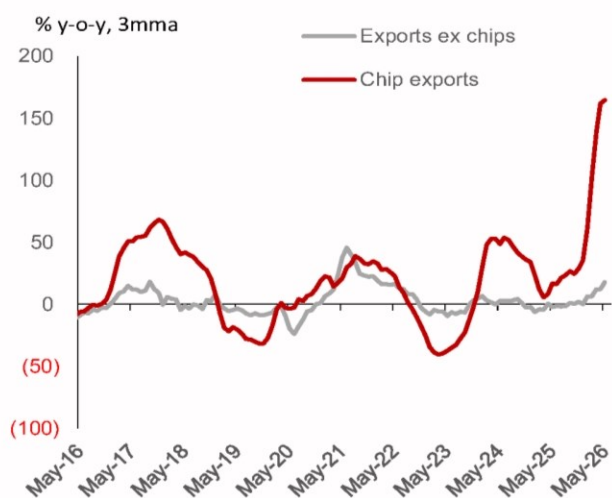
... largely due to a slower reflection of the recent chip price surge

Customs-based volumes rely on product level unit values, while the BOK's export volume index is deflated using the export price index with a 2020 benchmark structure (Figure 5). Thus, a plausible explanation for the divergence is that the BOK's export price index may be slow to reflect the recent surge in HBM and AI-related semiconductor prices. This could result in stronger measures of export volume growth than implied by customs-based indicators, which may be exaggerating exports' contribution to real GDP.

This suggests that a recovery in the domestic economy may take longer than what the strong external sector suggests as export spillover effects are likely to remain limited. Thus, we maintain our 2026 GDP growth forecast of 2.4% on a slower recovery in domestic demand.

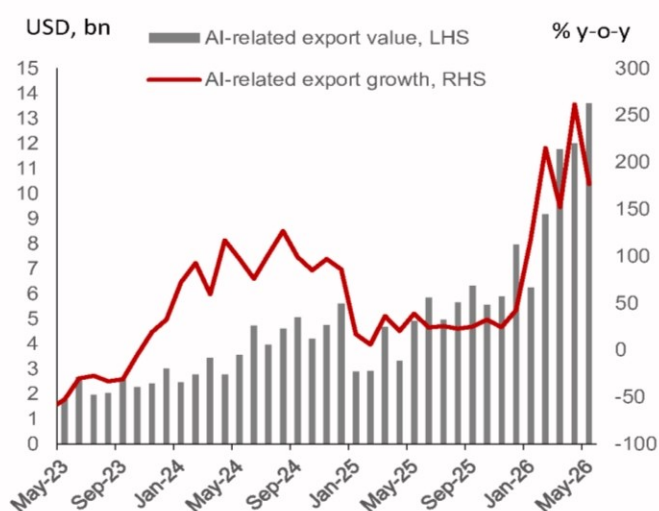
That said, as the BOK's policy reaction function has become more hawkish on inflation and financial stability concerns amid the growth optimism, we expect the BOK to take the policy rate to the more restrictive 3.25% in early 2027 by delivering three 25bp hikes with the first in July, followed by two 25bp hikes at each of the October 2026 and January 2027 meetings.

Fig. 2: Chip and non-chip exports



Source: CEIC, Nomura Global Economics

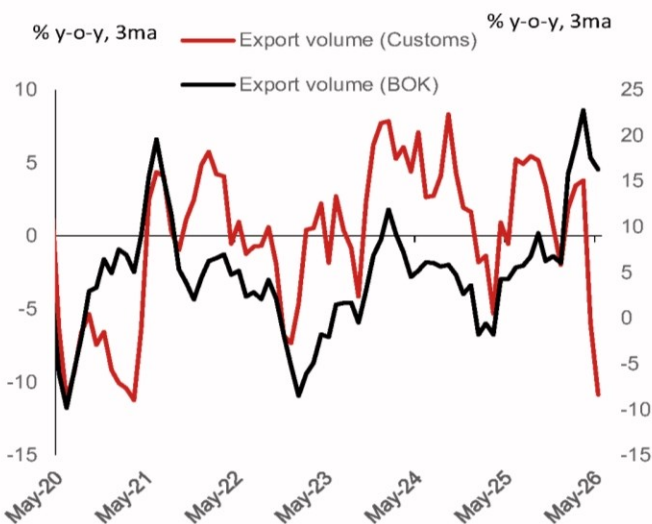
Fig. 3: AI related exports



Note: AI related exports is the sum of multi-chip packaging including high-bandwidth memory and SSD.

Source: CEIC, Nomura Global Economics

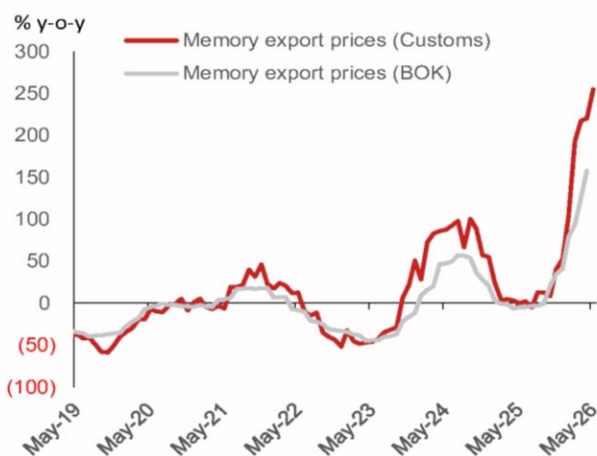
Fig. 4: Export volume growth



Note: Customs-based export volumes are measured in tonnage; BOK's export volume index measures real export volumes by adjusting export values for changes in export prices.

Source: MOTIR, CEIC, Nomura Global Economics

Fig. 5: Two export price measures



Note: BOK's export prices are based on survey on exporters about their export prices. Customs-based export prices are calculated by dividing memory export value by export volume (in tons).

Source: BOK, Korea Customs Service, Nomura Global Economics

Appendix A-1

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